> What is black money? *No notes are black. All notes are white. It is the process that creates the black money*. When a person does not pay tax, it becomes black money. What we are killing is the note. We are not catching people who have not paid taxes. For that you have the Income Tax department, but they are not doing their duty. The poor hoard cash. The rich, who don't pay taxes, don't keep the black money under their pillows.

On the argument that demonetization would stop the menace of counterfeit notes, he said,

> The person who is counterfeiting the existing note will counterfeit the new notes also. How many counterfeit notes are there? It's 10–20 in one million. *If you purchase dal from the local kirana store and, in the dal, there are some stones, you will pick out the stones, clean the dal and then cook. You never throw away the dal.*

Accurately forecasting the problems that citizens and the economy would face, he said,

> The economy will suffer because liquidity has been sucked out. *You have stopped market transactions for 70 per cent of the economy. The poor will suffer more.* To withdraw his/her own money, the poor person has to stand in the queue. Ninety per cent of the poor's liquidity is in cash, so they have no cash. All your trade and commerce are likely to be affected. Already, we can see that farmers and small businesses are hit.

Speaking of the cost to the banking system, Chakrabarty said, '*The total cost of replacing the notes will be ₹10,000 or 15,000 crore*. That is a direct loss. Then the *banks will be doing only this job for the next two months*: exchanging the note, managing the cash, managing the crowds. People will be more busy with these things. All this will have an adverse effect on the economy.'

He also revealed that a demonetization proposal had come from the UPA II government. 'After examining the proposal, we had said that this should not be done. The proposal never went to the board level… We said "no" because it does not serve any purpose… the cost is high and the benefit is less.'

Finally, asked whether the government and the RBI would be able to finish the work by 30 December, within the 50-day period requested by the Prime Minister, he said, 'It depends on the efficiency